



VSEUS Weekly Economics Gazette Newsletter

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Date: September 5, Friday

Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback to finance@vseus.ca!

Market Overview:

Canada's economy is weakening, and the early boost in activity driven by anticipation of Trump's tariffs appears to have faded. The country ultimately failed to achieve a "soft landing"¹. However, the **TSX (+1.44%)** is still hitting record highs fueled by **expectations that the BoC will lower rates** in the future. Investors are optimistic that economic conditions will improve and corporate profits will do well.

¹ Soft Landing: Slowing down the economy without entering a recession. This is very important to combat inflationary cycles.



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Article 1: Canadian Economy Shrinks 1.6% as Trade War Crushes Exports

Author, Source & Date Published: Erik Hertzberg, Bloomberg, August 29, 2025

Link: [Bloomberg Article](#) & [Statistics Canada](#)

Summary:

Canada's **GDP**² dropped 1.6% at an **annualized rate**³, making this the first contraction in two years.

Key Takeaways:

- Canada's economy contracted by **0.4% in Q2**, driven by sharp declines in **exports (-2.3%)** and **business investment (-10.1%)** (Statistics Canada, 2025). While business investment dropped sharply, overall investment still increased thanks to a significant buildup in private inventories. This inventory accumulation helped offset the weakness in capital expenditures. However, rising household consumption, inventory accumulation, and government spending helped soften the downturn.

$$\text{GPD} \downarrow = C \uparrow + I \uparrow + G \uparrow + (E \downarrow - I \downarrow)$$

VSEUS, Economics Gazette, Internal Analysis based on Statistics Canada data.

- The **yield on two-year bonds fell to 2.66%**. With a weaker economy expected in the short term, many moved away from stocks and increased their demand for government bonds.
- Government spending rose 1.8%, while revenue fell 4.2%, following the elimination of the carbon tax. To finance this shortfall, the federal government **increased borrowing**.

² Gross Domestic Product: $\text{GDP} = (\text{Consumption} + \text{Investments} + \text{Government Spending} + \text{Net Exports})$.

³ Annualized Rate: This means $-0.4\% \times 4 = 1.6\%$. However, it is important to note that this all year contraction hasn't materialized and it is only a way to express the quarterly performance as it would persist over the whole year.



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- In theory, higher government borrowing can lead to “**crowding out**,” where government demand for funds pushes up long-term interest rates, making it more expensive for private firms to invest.
- However, **this effect hasn’t materialized yet**. In fact, the yield on two-year bonds fell to 2.66%, and broader interest rates are declining. **Why?**
The Bank of Canada has cut its policy rate significantly in response to weakening economic conditions, and investors are moving into government bonds, expecting slower growth ahead.
- While fiscal borrowing can increase the cost of capital, **monetary policy and investor sentiment often have stronger short-term impacts**. This highlights an important lesson, that economic conceptual relationships, like the “crowding out effect”, depend on market expectations, investor behavior, and timing.
- In this environment, Canada’s government spending may be less likely to crowd out private investment, and more likely to act as a **stabilizer during trade disruptions**.

Educational Angle:

What is CAPM? The Capital Asset Pricing Model (CAPM) is a foundational tool that explains why different assets have different expected returns, therefore, different costs of capital.

Expected Return:

$$R_f + \beta(R_m - R_f)$$

- **R_f**: Risk-free rate
- **Beta**: A firm’s risk relative to the market.
- **R_m**: Expected market return.
- **(R_m – R_f)**: Market risk premium

Governments (like Canada) are seen as virtually risk-free borrowers because they have strong taxing authority and a long-standing record of repaying debt. If government spending rises, and borrowing increases, bond supply goes up, which can lower bond prices, thus pushing up the risk-free rate, which in turn raises borrowing costs for everyone. However, the Bank of Canada directly influences the risk-free rate (R_f) through its policy rate decisions. This means expectations of future rate cuts can quickly lower the cost of capital for all borrowers.



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Article 2: Google Saved From Breakup in Antitrust Case by AI Threat

Author, Source & Date Published: Davey Alba, Josh Sisco, and Leah Nylen, Bloomberg, September 3, 2025.

Link: [Bloomberg article](#) & [Alphabet's 10K](#)

Summary:

Google avoids major legal sanctions as AI seems to balance out the competitive landscape.

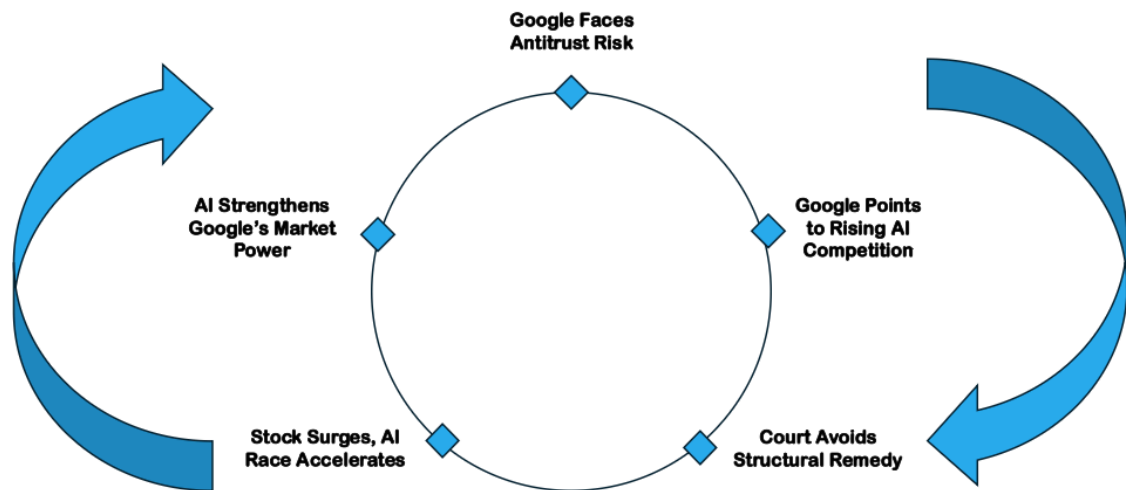
Key Takeaways:

- **Alphabet (+11.51%)**, Google's parent company, was found guilty of antitrust violations related to its search engine practices. The U.S. District Court ruled that Google used exclusionary contracts with major phone manufacturers to consolidate its search dominance. This is a perfect example of how companies try to introduce **barriers to entry**⁴ in the industry to maximize its market share and control the business.
- Prior to the ruling, there was heavy speculation about Alphabet's business structure. **The worst-case scenario?** A forced breakup of its different businesses. Some analysts believed that, ironically, such a breakup could increase shareholder value, especially if business units like YouTube, Google Cloud, or Search were valued independently. These valuations were based on the assumption that Alphabet's current profit margins are constrained by regulatory scrutiny and the costs of legal compliance.
- However, the judge ultimately ruled in favor of a conduct remedy instead. Rather than forcing Alphabet to restructure, the court ordered a one-time sharing of certain user data with competitors. This aims to level the playing field in areas like local search and ad targeting, but **it leaves Alphabet's corporate structure intact**. Other companies would benefit because they could justify rates similar to Google's, as they work on the same data to target specific audiences. Nevertheless, the ruling mandates a one-time disclosure rather than continuous data sharing.

⁴ Barriers to Entry: Obstacles that make it difficult or costly for new firms to enter a market.



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VSEUS, Economics Gazette, Internal Analysis

- What makes this case especially interesting is how Alphabet used the emergence of **AI competitors as a legal defense**. The judge acknowledged that rising platforms like Perplexity.ai and OpenAI, could disrupt Google's dominance. In essence, the future of competition became a key argument in why no breakup was necessary today. This introduces a fascinating paradox: the same AI race that threatens Google's dominance also helped preserve Google's corporate structure. With the antitrust risk reduced, Alphabet now has more capital and clarity to double down on AI investment.

Educational Angle:

For economics students, this case is a master example of how legal, technological, and market risks all show up in a company's valuation. These risks aren't abstract, they are real and priced into stock valuation plus you can find them in the **annual 10-K filing**⁵. Alphabet's 11% surge shows how resolving uncertainty can be as valuable as strong earnings. The market is not just pricing in current earnings performance, it considers the **risk profile of Alphabet's stock**.

⁵ 10-K filing: is an annual report that publicly traded companies must file with the U.S. Securities and Exchange Commission (SEC). It includes the company's business operations, financial performance, risks, guidance, and legal issues.



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Article 3: Labor Productivity Falls 1% in Canada, Most Since 2022

Author, Source & Date Published: Erik Hertzberg & Mario Baker Ramirez, Bloomberg, September 3, 2025

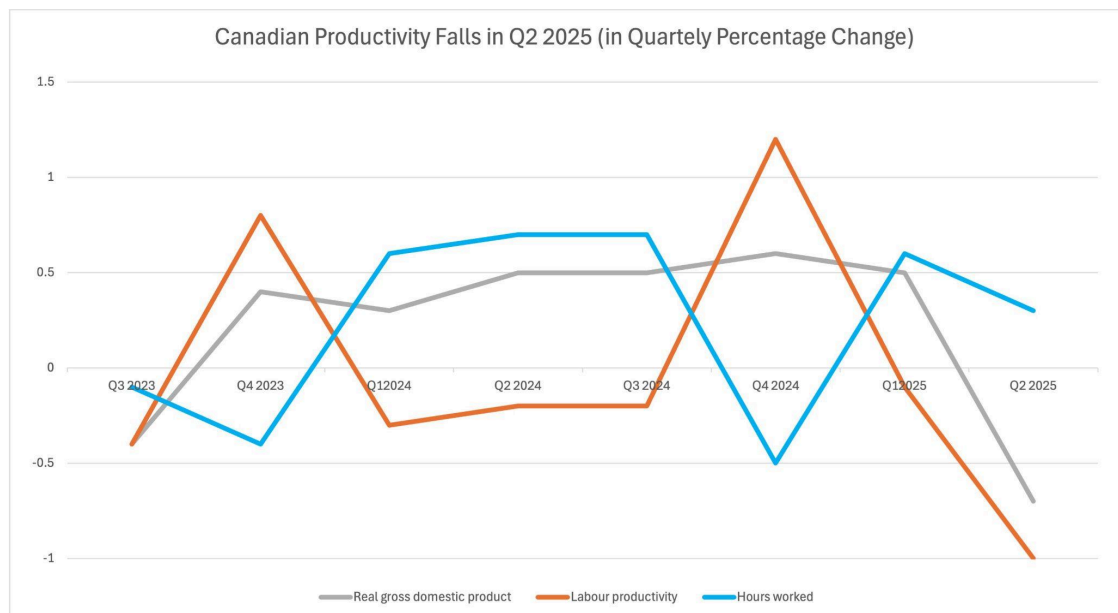
Link: [Bloomberg article](#) & [Statistics Canada](#)

Summary:

Canadian labor productivity decreased 1% during the second quarter, mainly pushed by manufacturing and wholesale trade.

Key Takeaways:

- Hours worked increased at a very slow pace as there was very little growth in services. It is important to point out that many industries along Western Canada and Ontario were affected by fires.



VSEUS, Economics Gazette, Internal Analysis based on Statistics Canada data.

- Slow productivity means employers must hire more workers, **increasing variable costs**. To remain profitable, firms would need to raise prices (slowing improvements in living standards). **Wages are stickier than goods' prices**.



Educational Angle:

Students could try to understand the role of productivity through different economic models. For example, the Solow Growth Model is an economic model that explains how countries grow over time. This simplified model is based on capital, labor and productivity.

$$y = A * k^{\alpha}$$

- **y:** output per worker
- **k:** capital per worker
- **A:** productivity
- **α:** capital's share of output

Alpha represents how much output increases when capital increases. It internalizes capital diminishing returns. This implies that investing only in capital is not the way to achieve long-term growth. After a certain point, adding an extra machine would produce very little difference in output. This makes sense, because imagine a person trying to use 40 Macbooks. Adding a 40+1 Macbook is probably not going to make a difference in its ability to produce value.